Calculating Net Monthly Income of Households that Include and Elderly or Disabled Member

The household consists of a mother, child and an elderly grandmother. The grandmother purchases and prepares meals with her daughter and grandchild.

The total combined monthly unearned income is $2,121 (MCE household). The household pays $1,200 for rent and is entitled to the Standard Utility Allowance. The medical expenses are $235 per month, of which $200 is the medical deduction (the amount in excess of $35).

The computation to determine benefits for the household is as follows:

Step	Action	
	The household is exempt from the gross income test (130% of FPL) due to the elderly/disabled member	
1	**a.** Add the total monthly unearned income of all household members that can be anticipated and **b.** Deduct the legal obligated child support paid ($2,121-$0):	$2,121
2	**a.** Add the total gross earned income of all household members that can be anticipated: **b.** Subtract the earned income deduction (20%) and **c.** Deduct any remaining legal obligated child support paid	$0
3	**Adjusted Gross Income** Add total unearned income plus the adjusted gross earned income (**Step 1 + Step 2**) [$2,121+$0]	$2,121
4	**Adjusted Net Income** From the total adjusted gross income (**Step 3**) subtract:	$2,121

	a. The standard deduction:			- $167
	b. The excess medical expense [$235-$35=$200]:			- $200
	c. The monthly dependent care cost:			- $0
	d. The homeless shelter deduction:			- $0
	Adjusted Net Income:			$1,754
5	**Shelter Deduction Computation**			
		Rent:	$1,200	
		SUA:	+ $397	
	a.	Total Shelter Cost:	$1,597	
	b.	50% of Adjusted Net Income	($1,754/2) = $877	
	c.	Subtract from the total shelter cost 50% of Adjusted Net Income (5a – 5b)	$1,597 - $877	
	d.	Allowable shelter deduction:	$720	
6	**Net Income Computation**			
	Subtract the shelter cost from the adjusted net income:	$1,754 - $720 $1,034	The shelter deduction is not limited to the Maximum Shelter Deduction for households with elderly or disabled members,	
	Net Income:			**$1,034**
7	Do not compute the Net Income Test because the household is MCE Refer to 63-254.6 to determine the household's allotment			

CalFresh Allotment Computation

Step	Action
1	The total net income of a household of four (4) is $725
2	The maximum allotment for a household size of 4 (as of October 2019) is $646
3	Multiply the net monthly by 30%:

	$725 x 30%=$217.5 rounded up to $218
4	Subtract the amount in #3 above ($218) from the maximum allotment for a household size of 4 ($646): $646 - $218 = $428

Determining Allotment Level

EXAMPLE:
A CalFresh household of 4 has a net monthly income of $725. Under the "Monthly Net Income" column in the CalFresh Allotment Table (63-1101.5) in page 7, find row "724 - 726." The CalFresh allotment for 4 persons is $422.

See "How to Use the CalFresh Allotment Tables" desk aid.

Disabled Household Member

A disabled CalFresh household member is a member of a household who is at least one of the following:

- Receives disability retirement benefits from a governmental agency because of a disability considered permanent under Section 221(i) of the Social Security Act; or
- Receives interim assistance benefits pending receipt of SSI, provided that the eligibility to receive those benefits is based upon disability or blindness criteria, which are at least as stringent as those used under Title XVI of the Social Security Act; or
- Receives disability-related medical assistance under Title XIX (Medi-Cal) of the Social Security act; or
- Receives disability-based general assistance benefits, provided that the eligibility to receive those benefits is based upon disability or blindness criteria which are at least as stringent as those used under Title XVI of the Social Security Act; or
- Is a veteran:
    - With a service-connected, or non-service-connected disability rated by the Veteran's Administration (VA) as total or paid as total by the VA under Title 38 of the United States Code; or
    - Considered by the VA to be in need of regular aid and attendance or permanently housebound under Title 38 of the United States Code;
- Is a surviving spouse of a veteran considered by the VA:

- To be in need of regular aid and attendance, or permanently housebound;
- To be entitled to compensation for a service-connected death or pension benefits for a non-service-connected death under Title 38 of the United States Code; and has a disability considered permanent under Section 221(i) of the Social Security Act; or

- Is a surviving child of a veteran:
  - Considered by the VA to be permanently incapable of self-support under Title 38 of the United States Code; or
  - Considered by the VA to be entitled to compensation for a service-connected death or pension benefits for a non-service-connected death under Title 38 of the United States Code; and has a disability considered permanent under Section 221(i) of the Social Security Act;

    "Entitled" as used in this definition, refers to those veterans' surviving spouses and surviving children who are receiving the compensation or pension benefits stated, or have been approved for such payments, but are not yet receiving them; or

- Receives an annuity payment under Section 2(a)(1)(iv) of the Railroad Retirement Act of 1974 and is determined to be eligible to receive Medicare by the Railroad Retirement Board; or Section 2(a)(1)(v) of the Railroad Retirement Act of 1974 and is determined to be disabled based upon the criteria used under Title XVI of the Social Security Act; or

- Receives Supplemental Security Income (SSI) benefits under Title XVI, or disability or blindness payments under Title II (Social Security Disability Insurance Program) of the Social Security Act;

  From 1974 to May 31, 2019, in California, SSI recipients were included as a member of the household for purposes of household composition. However, they were excluded from the household for the purpose of determining household size, eligibility or benefit level.

  Effective June 1, 2019, individuals receiving SSI/SSP in California are eligible for CalFresh, provided all other eligibility criteria are met.

Elderly Household Member

An elderly CalFresh household member is a member of a household who is 60 years of age or older.

ICT

INTER-COUNTY TRANSFER
A transfer of responsibility for determination of eligibility and provision of social services (including CalFresh) from one county to another.

SENDING COUNTY
The county from which the household has moved.

RECEIVING COUNTY
The county to which the household has moved.

TRANSFER PERIOD
The period of time in which the sending county remains responsible for payment of benefits.

30-DAY TRANSFER PERIOD
The 30-day transfer period begins the date the sending county informs the receiving county of the transfer, either via the postmarked date if mailed or the date of the electronic transfer of the notification of the ICT. When the 30th day falls on a Saturday, Sunday, or legal holiday, the first business day following the weekend or holiday is considered to be the last day of the 30-day transfer period.

EXPIRATION OF THE TRANSFER PERIOD
The expiration of the transfer period occurs at the end of the month following the 30-day transfer period after the sending county either mails or electronically transfers the notification of the ICT to the receiving county or the end of the month in which benefits are discontinued for other reasons, whichever is earlier. By mutual agreement of the counties involved, the transfer of responsibility may occur at an earlier date.

Migrant Farm Worker Season

A migrant farm season is defined as having a clear beginning point and ending point between which migrant farm workers travel. When they are not migrating to work they are residing at one location which they regard as home. In this case, the season would be the period during which the migrants are traveling to work. If a migrant farm worker travels constantly with no break period, the season will be considered the calendar year.

CONVERSION FACTOR
A figure used to convert income paid on a weekly or bi-weekly basis to a monthly averaged figure. Weekly amounts are multiplied by 4.33 and bi-weekly amounts by 2.167.

COUNTY INITIATED MID-PERIOD ACTIONS
The changes in eligibility status based on case information that the worker is required to act upon mid-period in which timely and adequate notice can be provided, even if the action results in a decrease in benefits, such as sanctions, financial penalties, approval of benefits in another household, the end of an inter-county transfer, or cost-of-living changes.

EXTENDED FILING DATE
The final date by which the household must submit a complete Semi-Annual Report (SAR 7) including all required verification without termination of eligibility. In a SAR system, this is the first working day of the next payment period.

FLUCTUATING INCOME
Income is considered to be fluctuating when the amount varies significantly for each month of the certification period. This includes when the household has income for one or more months of the certification period and zero income for the remaining months of the certification period due to income starting or stopping.

INCOME REPORTING THRESHOLD (IRT)
The IRT is the level of income that triggers the requirement of a SAR CalFresh household who has been certified with gross income at or below 130% of the FPL to report a change during the certification period.

Note:
Households certified between 131% and 200% of the FPL will not be required to make any reports of income during the SAR payment period. These households will not have a CalFresh IRT.
Refer to: Processing Guide 63-271-01

Refer to 63-1101.6 for CalFresh IRT.

MID-PERIOD CHANGES
Any change reported during the certification period that is outside the SAR 7 report or the recertification process. There are two types of mid-period reports:

- **Mandatory Mid-Period Reports:** Under SAR, recipients are mandated to report specified changes within 10 calendar days of

the date the change becomes known to the household. The mandatory reporting requirements for CalFresh are:
    - The household's income goes over the CalFresh IRT or when
    - Work hours for able-bodied adults without dependents (ABAWD) drop below 20 hours averaged monthly outside of the household's initial certification/ recertification and SAR 7 reporting month.
- **Voluntary Mid-Period Reports:** Reports made by the household during the certification period that are not mandatory.

PROSPECTIVE BUDGETING
Budgeting methodology that uses reasonably anticipated income for the determination of benefits for a household.

REASONABLY ANTICIPATED INCOME AND EXPENSES
Income and expenses that have been or will be budgeted for the upcoming certification period when:

- The income has been or will be approved or authorized as of a date within the upcoming certification period, or the household is otherwise reasonably certain that the income will be received within the period; and
- The amount of income is known.

STABLE INCOME
Income that is expected to remain at the same level and frequency throughout the certification period.

Income could be considered stable when the amounts don't vary significantly and the pattern of receipt is stable throughout the certification period.

VERIFIED UPON RECEIPT (VUR)
Information provided that is not questionable, where the provider is the primary source of the information and for which no further information is needed to take action.

CalFresh Examples and Scenarios

Alignment of CalFresh/CalWORKs Examples:

Example 1: Aligning CalWORKs (CW) to Existing CalFresh (CF) with 12 month certification period	
Situation	Ongoing regular NACF case with BDA of January 10, 2015 (cycle 1); the recertification month is December 2015. • The household applies for CW on August 15, 2015.
Outcome	Match CW redetermination to existing CF recertification. CW will be certified for five months (August 2015 to December 2015). In December 2015, CW/CF will have Redetermination/ Recertification. • Match CW cycle to CF cycle
Example 2: Aligning CW to Existing CF earned income household with 24 month certification period	
Situation	Ongoing E/D NACF case with BDA of January 10, 2015 (cycle 1); the recertification month is December 2016. • The household applies for CW on August 15, 2015.
Outcome	Match CW redetermination to existing CF 12 month SAR 7 Submit Month. CW case will be certified for five months (August 2015 to December 2015). At the December 2015 CF will submit a SAR 7 and CW will have 1st redetermination. In June 2016 CW/CF will submit a SAR7. In December 2016, CW will have 2nd redetermination and CF will have 1st recertification • Match CW cycle to CF cycle
Example 3: Aligning CW to Existing CF unearned income household with 24 months certification period	
Situation	Ongoing E/D NACF case with BDA of January 10, 2015 (cycle 1); the recertification month is December 2016. The household applies for CW on August 15, 2015.
Outcome	Match CW redetermination to existing CF 12 month SAR 7 Submit Month. CW case will be certified for five months (August 2015 to December 2015). At the December 2015 CF will submit a SAR 7 and CW will have 1st redetermination. In June 2016 CW will submit a SAR7. In December 2016, CW will have 2nd redetermination and CF will have 1st recertification Match CW cycle to CF cycle

Example 4: Aligning Regular CF with 12 months certification period household to Existing CW	
Situation	Ongoing CW case with BDA of January 10, 2016, (cycle 1); the redetermination month is December 2016. The household applies for CF on August 15, 2016.
Outcome	• Match the CF recertification to the existing CW redetermination. CF case will be certified for 5 months (August 2016 to December 2016). In December 2016, CW/CF will have Redetermination/Recertification. • Match CF cycle to CW cycle
Example 5: Aligning E/D CF with 24 month certification period and no earned income household to Existing CW	
Situation	Ongoing CW case with BDA of January 10, 2016, (cycle 1); the redetermination month is December 2016. • The household applies for CF August 15, 2016.
Outcome	• Match CF recertification to existing CW redetermination. CF case will be certified for 17 months (August 2016 to December 2017). In December 2016 CF will submit a SAR 7 and CW will have 1st redetermination. In June 2017 CW will submit a SAR7. In December 2017, CW will have 2nd redetermination and CF will have 1st recertification. • Match CW cycle to CF cycle
Example 6: Aligning CF earned income household with 24 month certification period to Existing CW	
Situation	Ongoing CW case with BDA of January 10, 2016, (cycle 1); the redetermination month is December 2016. • The household applies for CalFresh August 15, 2016.
Outcome	• Match CF recertification to the existing CW redetermination. CF case will be certified for 17 months (August 2016 to December 2017). In December 2016 CF will submit a SAR 7 and CW will have 1st redetermination. In June 2017 CW/CF will submit a SAR 7. In December 2017, CW will have 2nd redetermination and CF will have 1st recertification. • Match CW cycle to CF cycle

Alignment of CalFresh/CalWORKs Examples with Charts:

How to align CW to existing CF case:

Example 1:

CF household with earned income and a 24 month certification period. The BDA is March 2016 (Cycle 3), CW application May 2016. Align CW to the existing CF as follows: Match CW cycle to CF Cycle 3. (If CalWIN does not correctly align the cycle, a supervisor can change it.)

Match the CW RRR to CF existing RRR. Since CF has a RRR at 24 months, match the CW RRR to the CF SAR 7 due at 12 months. CF/CW will have an RRR at 24 months.

See chart below:

Month	1st	2nd	3rd	4th	5th	6th	7th	8th	9th	10th	11th	12th
CalFresh Program	CF BDA					CF SAR7						CF SAR7
CalWORKs Program			CW BDA			CW SAR7						1st CW RRR
Month	13th	14th	15th	16th	17th	18th	19th	20th	21st	22nd	23rd	24th
CalFresh Program						CF SAR7						CF RRR
CalWORKs Program						CW SAR7						2nd CW RRR

Example 2:

CF household with a 12 month certification period. The BDA is March 2016 (Cycle 3). Applies for CW May 2016. Align CW program to existing CF case as follows: Match CW cycle to CF Cycle 3 and match the CW RRR to CF existing RRR.

Month	1st	2nd	3rd	4th	5th	6th	7th	8th	9th	10th	11th	12th
CalFresh Program	CF BDA					CF SAR7						CF RRR
CalWORKs Program			CW BDA			CW SAR7						CW RRR

Example 3:
CF household with no earned income and a 24 month certification period. The BDA is March 2016 (Cycle 3). Applies for CW on May 2016. Align CW to existing CF as follows:

Match CW cycle to CF Cycle 3. (If CalWIN does not correctly align the cycle, a supervisor can change it.)

Match the CW RRR to CF existing RRR. Since CF has a RRR at 24 months, match the CW RRR to the CF SAR 7 due at 12 months. CF/CW will have an RRR at 24 months.

See chart below:

Month	1st	2nd	3rd	4th	5th	6th	7th	8th	9th	10th	11th	12th
CalFresh Program	CF BDA											CF SAR7
CalWORKs Program			CW BDA			CW SAR7						1st CW RRR
Month	13th	14th	15th	16th	17th	18th	19th	20th	21st	22nd	23rd	24th
CalFresh Program												CF RRR
CalWORKs Program						CW SAR7						2nd CW RRR

How to align CF case to existing CW case:

Example 1:
CW BDA is February 2016, Cycle 2 and RRR January 2017. CF household living on an Indian Reservation with no earned income applies June 2016. (24 month certification period) Match CF cycle to CW Cycle 2. (If CalWIN does not correctly align the cycle, a supervisor can change it.)

Match CF SAR 7 at the 12 month to the CW RRR. See chart below:

Month	1st	2nd	3rd	4th	5th	6th	7th	8th	9th	10th	11th	12th
CalFresh Program					CF BDA							CF SAR7
CalWORKs Program	CW BDA					CW SAR7						1st CW RRR
Month	13th	14th	15th	16th	17th	18th	19th	20th	21st	22nd	23rd	24th
CalFresh Program												CF RRR
CalWORKs Program						CW SAR7						2nd CW RRR

Example 2:
CW BDA is February 2016 (Cycle 2) and RRR is January 2017. CF E/D household with earned income applies June 2016. Match CF cycle to CW cycle 2. (If CalWIN does not correctly align the cycle, a supervisor can change it.)

Match CF SAR 7 at the 12 month to CW RRR. See chart below.

Month	1st	2nd	3rd	4th	5th	6th	7th	8th	9th	10th	11th	12th
CalFresh Program					CF BDA	CF SAR7						CF SAR7
CalWORKs Program	CW BDA					CW SAR7						1st CW RRR
Month	13th	14th	15th	16th	17th	18th	19th	20th	21st	22nd	23rd	24th
CalFresh Program						CF SAR7						CF RRR
CalWORKs Program						CW SAR7						2nd CW RRR

Example 3:
CW BDA is February 2016 (Cycle 2) and RRR January 2017. Regular CF household applies May 2016. Match CF cycle to CW cycle 2. (If CalWIN does not correctly align the cycle, a supervisor can change it.)

Match CF RRR to existing CW RRR. See chart below.

Month	1st	2nd	3rd	4th	5th	6th	7th	8th	9th	10th	11th	12th
CalFresh Program				CF BDA		CF SAR7						CF RRR
CalWORKs Program	CW BDA					CW SAR7						CW RRR

Expedited Services - Late Determinations

Example: A customer consisting of a single mother with two children applies for CalFresh benefits on June 3rd. The application did not contain sufficient information to determine eligibility to Expedited Services. The customer is scheduled for a regular appointment on June 8. On the date of the interview, the HSS discovers that the customer is eligible to Expedited Services. The three-day time frame begins June 9th.

Case comments must be entered to show that eligibility for Expedited Services was discovered on June 8 and that Expedited Services CalFresh was approved within three calendar days.

Expedited Services – PACF Cases

Example: An application was submitted on October 11 for CalWORKs and CalFresh with a request for ES. An appointment is scheduled for CalWORKs face-to-face interview on October 20. In order to meet the three days Expedited Services time frame requirement, a phone interview for Expedited Services is scheduled for October 12 before the face-to-face interview appointment. However, if the customer prefers a face to face interview, an appointment will be scheduled within three calendar days to process both programs.

Expedited Services - Processing Procedures

Customers who are unable to come into the office can request that the EBT and PIN number be mailed to them. Mailing time does not affect the Expedited Services 3-day timeframe.

Example: A customer comes into the FRC office on Monday and submits a CalFresh application (day zero). They are determined eligible to Expedited Services given a phone interview appointment for Tuesday (day one). The customer is unable to come into the office Tuesday due to car trouble and requests that the EBT card and PIN be mailed. The HSS mails the EBT/PIN to the customer on Tuesday (day one). The Expedited Services Clock stops when the HSS mails the EBT/PIN to the customer. The customer received the EBT card on Thursday (day two) and the PIN on Friday (day three). The County has met the ES timeframe when both the EBT card and PIN number were put in the mail at the customer's request.

Household Cooperation

Failure to Cooperate with QC (State / Federal Reviews)

Example 1: (State Review)
A household is discontinued on 5/31/19 for refusal to cooperate with a State QC review and never completes the review. The QC annual review period ends 9/30/19. Therefore, the household can reapply on or after 2/3/20, which is 125 days after 9/30/19.

Example 2: (State Review)
A household is discontinued on 10/31/18 for refusal to cooperate with a State QC review and never completes the review. The QC annual review period ends 9/30/19. The household can reapply on or after 2/3/20, which is 125 days after 9/30/12.

Example 3: (Federal Review)
A household is discontinued 4/30/19 for failure to cooperate with a Federal QC review and never completes the review. The QC annual review period ends 9/30/19. The household can reapply on or after 7/1/20, which is 9 months after 9/30/19.

Non-Cooperating Household Member leaves the Household and joins another CalFresh Household

Example:
Household #1:
A CalFresh household consists of a mother and father and their two children. The mother refuses to participate in the CalFresh QC review. The entire household is discontinued due to the mother's non-cooperation with the QC review. During the sanction period, the mother leaves the existing CalFresh Household (Household #1) and moves in with another CalFresh Household (Household #2). The mother is no longer part of Household #1. The remaining members of that household (father and two children) are eligible to reapply for CalFresh benefits without the need to wait until the end of the sanction period.

Household #2 will be discontinued from the CalFresh program and will remain ineligible until the mother cooperates, leaves this household, or after the end of the sanction period. The Notice of Action must state the specific reason for the termination of benefits.

Income Exclusions

In-Kind Income
Example:
A CalFresh recipient receives reduced rent in exchange for managing and apartment building. His apartment would mormally rent for $900, but the recipient pays only $200. Exclude $700 as earned in-kind; allow $200 as rent deduction.

Vendor Payments

Example
A friend or relative uses his or her own money to pay the household's entire rent directly to the landlord. This is considered a vender Payment and is excluded. The household is not entitled to the shelter deduction.

Monies Withheld to Pay an Overpayment

Example 1

A CalFresh household recipient is eligible to receive $1,472 in Social Security Disability benefits. The recipient receives a net amount of $1, 251 because $220 is being deducted to repay an overpayment owed to Social Security Administration (SSA). Count the net amount of $1,251 because the overpayment is being collected to pay an overpayment from the same source, SSA.

Example 2
Same situation as above except that the reduction of $220 is to repay an overpayment owed to the Department of Veterans Affairs (VA). (The overpayment was due to noncompliance with VA requirements). Since a VA overpayment is being collected from a different source,
Social Security, count the gross amount of Social Security benefits, $1,472.

Contributions from People or Organizations

EXAMPLE 1

An uncle gives $200 to the household to purchase new tires. The $200 is not considered income when the receipt for the expense verifies the contributor's intended purpose for the contribution. If the uncle provides a written statement saying the $200 was given to buy tires this would be considered sufficient verification.

EXAMPLE 2

A household member signed an affidavit and provided a statement from a friend indicating that she received $300 to pay a portion of the rent. The household also provided a rent receipt as verification that the rent of $700 has been paid in full.
The household shall be allowed a deduction for the amount they paid toward the expense. In the scenario above the household spent only $400 of her own money to pay the rent. She would be able to claim $400 as a shelter deduction, not the entire $700. The contribution will not be counted as income if the household provides verification the money was used for the intended purpose. The verification can be a written statement from the contributor.

Legally Obligated Child Support Payments

Budgeting

Example

A household has $800 in total gross earned income and $200 in total unearned income. A member of the household pays $400 in court-ordered child support per month.

Treat the child support payment as follows:

Step	Description	Computation
1	Deduct the child support	**$**200 - $400

	payment first from the unearned income	=$0 ($200 remaining child support payment)
2	Determine the 20% earned income deduction	$800-20% earned deduction =$640 in adjusted gross income
3	Deduct the remaining child support payment from the adjusted gross income from Step 2	$640 - $200 =$440 in gross earnings
4	Determine total income	$440 earnings +$0 unearned income =$440 in total income

IEVS Processing Timeframe Examples

PVS are to be processed no later than 45 days from the run date.

Example 1:
A CalFresh case has an IEVS PVS with a 02/29 run date which is considered VUR. Per the PVS report, the customer receives SDI which will affect the budget but is not over IRT. The PVS was reviewed and processed on 03/28 and is considered timely for an IEVS report. If PVS would have been reviewed prior to ten day, VUR action would have been effective 04/01. Since the PVS was reviewed 03/28, the VUR action is effective 05/01.
Because the IEVS report was processed timely, but not in time to provide the client with adequate 10 day notice for April; there will be no overissuance established for April. As everything in the process was done timely, there would be no QC error (ACL 12-25, page 77).

Example 2:
A CalFresh case has an IEVS PVS with a 02/29 run date. Per the PVS report, the customer receives SDI which will affect the budget and is over IRT. The case was over IRT effective January and the HH failed to report. The PVS was reviewed and processed on 03/28 and is considered timely for an IEVS report. The worker was able to determine that if the HH had reported timely, benefits would have been reduced effective March. Although the IEVS report was

processed timely, it was a mandatory mid-period report for the HH and they failed to act. In this example, there will be an overissuance established for March and April.

Example 3:
An IEVS was ordered at application.
IEVS report date 3/12/2018 in CalWIN. There was no discrepancy but the HSS did not update the Create IEVS Applicant Review Document. Should HSSs complete that screen whether or not there was a discrepancy?

Answer: Yes. Search IEVS Applicant Reports should be completed as Processed, No Discrepancy.

Overissuances -Calculating Overissuances Based on Customers Circumstances

When establishing a CalFresh overissuance, the overissuance amount is computed by determining the customer's actual circumstances, including changes the customer failed to report. This includes decreases or increases in income.

Example 1:
A non-assistance CalFresh household applies for benefits in January and inaccurately reports that they have gross income of $500 per month (income is actually $900 per month). In March, the household stops working but does not report the loss of income to the CWD. In May an IEVS match reveals that the household actually had income of
$900 for January, February, and March and the employment terminated in March.
Answer: Since January, the household was issued benefits based on the reported income of $500 per month. The OI is calculated based on the income of $900 per month for the months in which the household received that income. Since the income stopped in March, the income should not be used in the calculation of benefits for April and May as no income was received in those months. No OI should be assessed for any months in which the household did not have earnings.

Example 2:
An IEVS match reveals that a customer failed to report income on the semi-annual report. How is the income counted if the income stops in the Data Month?
Answer: In this scenario, because the Data Month income did not continue into the upcoming SAR Payment Period, there would be no OP. While all income received in the Data Month is required to be reported, in this scenario, even if the income had been reported

correctly on the SAR 7 it would not have been used to calculate the benefits for the upcoming SAR Payment Period because the income was not anticipated to continue.

Example 3:
An IEVS match reveals that a customer failed to report income on the semi-annual report. The income continued for the first four months of the SAR Payment Period. How is the OP calculated?
Answer: When the OP begins will depend on whether or not the income that should have been reported on the SAR 7 for the Data Month was over IRT. If the income from the Data Month was over the IRT, the OP should begin in the Submit Month and continue until the income ends. If the income was under the IRT, the OP should begin in the first month of the SAR Payment Period and continue until the income ends.

ACL No. 15-95

Overissuances - Establishing a Claim

Examples of Establishing a Claim:

Situation	Outcome
Claim for $250 is discovered on 2/13/20. HH was active on date of discovery. HH was set to be discontinued on 2/29/20.	The claim must be established since the HH was active during the date of discovery and the claim exceeds the threshold for an active case.

Residency - Homeless Households

Example: County A reviews EBT usage indicating that a Homeless customer has been accessing their benefits in another state (or county) for 3 months. Try to call the customer to clarify if they are still a resident of San Diego County. If unable to reach the customer by phone, send a CF 387 Request for Information (RFI) to the last known address to determine if the customer has moved to another state or intends to return to County A. The last known address may be a county PO Box or other general delivery address. If the customer does not respond to the CF 387 Request for Information (RFI) within 10 days, the case must be discontinued. If the customer responds to the CF 387 Request for

Information (RFI) within the 10-day time period, the county must evaluate the customers residency and determine if the case should be transferred, terminated, or if eligibility is to be maintained in the original county.

Residency - ICT

When a customer reports that they have moved to another county, the ICT process must be followed.

Example: A customer reports that the entire household has moved from County A to County B. This is not a temporary absence. County A will need to initiate the ICT process. (ACL 11-22)

Residency - Out of State

Out- of- State refers to customers who are in a state other than their established state of residence for various reasons but may intend to return to their state of residence at some point.

Example 1:
County A reviews EBT usage indicating that a customer has been accessing their benefits in another state for 3 months. Call the customer to try to clarify their residency over the phone. If unable to reach the customer by phone, send a CF 387 Request for Information (RFI) to the last known address to determine if the customer has moved to the other state or intends to return to County A. The household responds stating that they are temporarily in another state caring for a sick relative, or fleeing domestic abuse, or any other reason, but intends to return to County A. As long as the household continues to meet its reporting requirements, County A shall keep the case active. However, if the household has not returned to County A within one year, the household will be considered to have changed its state of residency and must be discontinued. No notice of action is required. If the customer does not respond to the CF 387 Request for Information (RFI), the county should discontinue the case with 10 day notice for failure to respond to the CF 387 Request for Information (RFI).

Example 2:
County A reviews EBT usage indicating that a customer has been accessing their benefits in another state for 3 months. Call the customer to try to clarify their residency over the phone. If unable to reach the customer by phone, send a CF 387 Request for Information (RFI) to the last known address to determine if the customer has moved to the other state or intends to return to County A. If the customer does not respond to the CF 387 Request for Information (RFI), the county should

discontinue the case with 10 day notice for failure to respond to the CF 387 Request for Information (RFI).

Example 3:
County A reviews EBT usage indicating that a customer has been accessing their benefits in another state for 3 months. The county must attempt to call the customer to clarify residency. If unable to reach the customer by phone, send a CF 387 Request for Information (RFI) to the last known address to request the needed information to clarify residency. The household responds that they are now living in another state. No notice of action is required. The household's benefits shall be terminated for loss of residency or for having moved out of state.

Residency - Persons applying in California who live in another state

Example: A customer applies for CalFresh benefits in a California county. The customer discloses that they are visiting friends and will be staying for several months with an unknown return date. The customer is eligible for CalFresh, but states their residency is in Washington. The customer's application must be denied. The customer should be told to apply in Washington.

Residency - Temporary Absences

Temporary absences refer to customers who are temporarily residing in another county for various reasons but intend to return to their initial county of residence.

Example 1
A household lives in County A but the husband has been temporarily relocated in County B for three months for his job. He intends to return to County A once his job ends. In this example, the household maintains its residency in County A and the husband may use CalFresh benefits in County B.

Example 2
County A reviews EBT usage and discovers that a household may be residing in County B. County A will call the customer to see if they are still a resident of San Diego County. If unable to reach the customer and clarify residency, send a CF 387 Request for Information (RFI) to the household's last known address to request the needed information to clarify residency. If the household provides the requested information within the 10-day time frame confirming it is now residing in County B, County A should initiate an ICT. If the household responds that they are still a resident, County A should keep the case active. If the household

does not respond, the household's benefits shall be terminated at the end of the month in which a 10-day notice can be provided for failing to respond to the CF 387 Request for Information (RFI).

Example 3
County A reviews EBT usage indicating that a customer has been accessing their benefits in another county for 3 months. The county must attempt to contact the customer by phone. If unable to reach the customer and clarify residency, send a CF 387 Request for Information (RFI) to the last known address to request the needed information to clarify residency. The household responds stating that it is temporarily in another county caring for a sick relative, or fleeing domestic abuse, or any other reason, but intends to return to County A. As long as the household continues to meet its reporting requirements, no ICT shall be sent and County A shall keep the case active. However, if the household has not returned to County A within one year, the household will be considered to have changed its county of residence and an ICT shall be initiated. If the customer does not respond to the CF 387 Request for Information (RFI), the County A should discontinue the case with 10 day notice for failure to respond to the CF 387 Request for Information (RFI).

SAR 7 - Required Information

If other reported information received while processing the SAR 7 indicates that the information was unknown by the customer until after the Data month, the change will be treated as a voluntary mid-period report. The following scenarios are examples of voluntary mid-period reports that may occur while processing a SAR 7.

Example 1:
Scenario:

A customer submits a timely SAR 7 on June 8 (the Submit Month) that includes information about May (the Data Month) and all reasonably anticipated changes for the remaining six months of the certification period.

On June 15, the customer calls the county and reports that her June income has increased and is higher than she anticipated on her SAR 7 and she anticipates that this income will continue at this amount for the rest of the semi-annual period.

The income is not over IRT.

Outcome:

Because this information was unknown to the customer in the Data Month, the report of increased income will be considered a voluntary

mid-period report and will not be acted on unless it results in an increase to her benefits.

Example 2:

Scenario:

Same scenario as above, except when the customer makes the second report on June 15, she reports that her income actually increased in May (the Data Month).

Outcome:

Because this information should have been reported on her SAR 7, this is considered a correction to her previously incomplete SAR 7 report, and shall be considered in determining eligibility and benefit amounts for the remaining six months of the certification period.

Example 3:

Scenario:

A customer submits a timely SAR 7 on June 5 (the Submit Month) and reports that their income decreased in May (the Data Month).

Outcome:

This information should be treated as a voluntary mid-period report of decreased income and a supplement should be provided for the month of June (the month the decrease was reported).

This decreased income will also be used to calculate the customer's benefit amount for the remaining six months of the certification period.

Scholarship and Grants

Determine Net Monthly Educational Income

Example:

A student receives a $1,500 private scholarship on October 10, 2015. The school year begins on September 7, 2015 and will end on June 3, 2016. The expenses are:

- $200 for tuition
- $300 for books and
- $500 for dependent care

Step	Action
1	Obtain verification of student income and expenses

2	Determine the number of months the educational assistance and educational expenses are intended to cover: There are 10 months in the school year, September through June
3	Subtract the educational expenses from the educational assistance: $1,500 scholarship -$1,000 exempt expenses $500 net student income
4	Divide the net student income (step 3) by the number of months the educational assistance and educational expenses are intended to cover: $500 divided by 10 months=$50 month will be counted in the CalFresh budget for 10 months, September through June.

Student Eligibility

Example 1- Applicant who is a student
Applicant graduates from high school in June, enrolls in Community College on 08/17 and applies for CalFresh on 08/19. College classes begin on 08/30/12. The applicant would be considered a non-student from 08/19 through 08/29. On 08/30, the applicant would be considered a student and would have to meet “Student Eligibility requirements/ Criteria” to remain eligible. The case would be set up treating the applicant as a non-student for August and as a student in September.

Example 2- Applicant who is a Non-continuing student:
A 19 years old student applies for CalFresh on 06/05. He attends college half time in June. His school spring semester ends June 24. Student specifically stated that he wants to take a break from school and he does not intend to enroll for the following school term.

In June the applicant would be considered a CalFresh student and would have to meet” Student Eligibility requirements/Criteria” to be determined eligible. The case would be set up treating the applicant as a student in June and non-student for upcoming months.

Do not classify individuals as ineligible for CalFresh who do not intend to be enrolled in school for a future term.

Time Limits and Delays

Approval Actions
Example:

All CalFresh applications must be processed and approved, if otherwise eligible as soon as possible, but no later than the 30th day after the date of application. If the 30th day falls on a weekend or holiday, the application must be approved prior to the 30th day. The 30th day falls on a weekend and Monday is a holiday; approve the case on Friday before the weekend and holiday.

Application Pending for Other Programs
Example:
Do not delay granting a CalFresh application because information or verification pertaining only to other programs is still pending.

CalWORKs may have pending items like a Project 100% investigation, child support questionnaire, birth certificates, or vehicle registration that does not affect CalFresh eligibility. Approve CalFresh if all required verification has been provided while the CalWORKs is pending verifications.

Denial Actions
Example 1:
If the last day for a denial action falls on a Sunday or other holiday; take action on the next normal working day. The 30th day falls on a weekend and Monday is a holiday; deny the case on Tuesday after the weekend and holiday; do not deny the case prior to the 30th day.

Example 2:
If 30-day denial action falls on a weekend, the denial should be effective and dated the Monday following the weekend.

Unearned Income

Legally Obligated Payments Diverted to a Third Party:

Examples:

1. A household receives court-ordered monthly support payments in the amount of $400. Later, $200 is diverted by the provider and paid directly to a creditor for a household expense. The entire payment is counted as income.
2. A court awards support payments in the amount of $400 a month and in addition orders $200 to be paid directly to a bank for repayment of a loan. The $400 payment is counted as income and the $200 payment is excluded income.

WINS Scenarios

#	Household Members	Any WEI's	Working Sufficient Hours	Eligible	Aid Code
1	One Parent and One Child	Yes	Yes	Yes	R4
2	One Parent and One Child	Yes	No	No	09
3	Two Parents and One Child	Yes	Yes	Yes	R5
4	Two Parents and One Child	Yes	No	No	09
5	Caretaker relative and One Child	Yes	Yes	Yes	R4
6	2 Families, both with One Parent and One Child on the same CalFresh case (both parents meeting sufficient hours)	Yes	Yes	Yes- 1 WINS benefit	R4
7	2 Families, both with One Parent and One Child on the same CalFresh case (only one parent meeting sufficient hours)	Yes	Yes	Yes- 1 WINS benefit	R4
8	2 Families, One with One Parent and One Child only on the same CalFresh Case (both	Yes- single adult with no child is not WEI	Yes- work hours for second adult are irrelevant since they are not WEI	Yes- 1 WINS benefit	R4

	adults are meeting sufficient hours)				
9	2 Families, both with One Parent and One Child on separate CalFresh cases (both parents meeting sufficient hours)	Yes	Yes	Yes- Since separate CF households, each family is eligible to a WINS benefit (2 total)	R4 for both
10	2 Families, both with One Parent and One Child on separate CalFresh cases (only one parent meeting sufficient hours)	Yes	Yes- 1 household The second household would not affect the first household's WINS benefits	Yes- only the household that meets both criteria would be eligible to WINS	R4 for the HH meeting WINS eligibility 09 for the HH not meeting WINS eligibility
11	One parent (head of household), one minor parent and grandchild. Parent is working sufficient hours, minor parent is not working.	Yes- 17 year old is not WEI since not HoH	Yes	Yes	R4
12	One parent, one minor parent (head of household), and grandchild.	Yes- 17 year old is WEI since HoH	Yes	Yes	R4

	Parent is not working sufficient hours, minor parent is.				
13	One parent, step-parent, step-child and common child, Both parents together work a combined total of 35 hours/ week	Yes- both parents are WEI's	Yes-	Yes	R5
14	One parent, step-parent and child	Yes- a Step-parent can be a WEI	Yes	Yes	R4
15	CFAP Parent and child	Yes	Yes	Yes	R6

Withdrawals

Examples of Withdrawal Situations:

Example 1
A customer is called at their assigned intake date and time. The customer tells the HSS that they want to withdrawal their CalFresh application. The HSS asks the reason and the customer states that they just changed their mind and they do not want to apply. Process the application as a withdrawal and send the appropriate notice of action. Let the customer know they can reapply at any time.

Example 2
An HSS is processing an intake. When the customer reports their income amount, the HSS realizes that they appear to be potentially over income. The HSS suggests that they can withdraw their application. **This is not permitted**; the HSS must deny the case for over income and send the notice of action.